possibly run. The threat of this extreme penalty, coupled with the limited upside from salaries that were not buoyed by stock or options compensation, combined to make bankers extremely conservative. This served depositors well since their capital was safe. Shareholders, who enjoyed a steady rent because of the limited competition, were also happy.

In the new, deregulated, competitive environment, investment managers can't be provided the same staid incentives as bank managers of yore. Because they need the incentive to search for good investments, their compensation has to be sensitive to investment returns, especially returns relative to their competitors. Furthermore, new investors are attracted by high returns. And current investors, if dissatisfied, do take their money elsewhere (although they often suffer from inertia in doing so). Since compensation also varies with assets under management, overall, investment managers face a compensation structure that moves up very strongly with good performance, and falls, albeit more mildly, with poor performance.

Therefore, the incentive structure for investment managers today differs from the incentive structure for bank managers of the past in two important ways. First, there is typically less downside and more upside from generating investment returns, implying that these managers have the incentive to take more risk. Second, their performance relative to other peer managers matters, either because it's directly embedded in their compensation, or because investors exit or enter funds on that basis. The knowledge that managers are being evaluated against others can induce superior performance, but also perverse behaviour of various kinds.

PERVERSE BEHAVIOURS

Performance-based pay can induce risky behaviour among investment managers. One type is to take risk that is concealed from investors.